

China Internet

Z.AI Co., Ltd.

Rating

Outperform

Price Target

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Z.ai: RL is all you need? GLM-5.3 quick thoughts

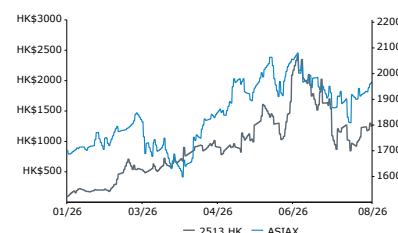
Frontier coding and cyber at 750bn total parameters. On Friday, Z.ai released GLM-5.3, an update to the company's flagship model. Based on the same pre-train as GLM-5.2, (c. 750bn total parameters, 40bn active), the release documentation pointed to significant improvements across a wide range of long-horizon coding and agent execution benchmarks. Notably, the company noted that the improvements were achieved purely through post-training scaling - leveraging more environments, task diversity, and training compute. Z.ai has confirmed pricing will be unchanged versus GLM-5.2 levels - use of the same base model should mean inference costs are similar.

Comparing the benchmark scores. It will take a few days for the likes of Arena.ai and Artificial Analysis to produce test results for the new model, but GLM-5.3 should reinstate Z.ai on the Pareto frontier. The early online feedback has been positive: at a high level the new model looks stronger in agent execution, automation, and cyber - all at significantly cheaper token pricing, while K3 remains comparable on long-horizon software engineering. Compared with Qwen3.8 Max, GLM-5.3 looks modestly improved on broad agentic capabilities, but materially ahead on the coding-to-agent stack, and cyber capabilities. GLM-5.3 remains a step behind US SOTA on the hardest software engineering tasks, but clearly ahead of Opus 4.8 across most of the agentic and cyber benchmarks.

Project Glasswing with Chinese characteristics. GLM-5.3 scored 84.5 on CyberGym, versus Mythos 5 on 83.8, and GPT-5.6 Sol on 83.6 - and early developer feedback on GLM-5.3's cyber capabilities has sounded encouraging. Alongside the launch, Z.ai also announced that it would run pre-release tests with multiple domestic cybersecurity teams, identifying 2,400+ vulnerabilities across 269 projects, including c. 1,100 medium-to-high severity issues. Aside from building a network of cybersecurity partners, and a data and distribution flywheel, the exercise likely yielded valuable feedback data, and helped to strengthen GLM-5.3 pre-release. Unlocking cybersecurity as a third commercial vector - after coding and office productivity - should help to strengthen the TAM and growth runway arguments for its shares.

Close Date	14 Aug 2026
2513.HK Close Price (HKD)	1,270.00
Price Target (HKD)	1,350.00
Upside/(Downside)	6%
52-Week Range	2,980.00/116.10
ASIAX	1,960.56
FYE	Dec
Div Yield	NA
Market Cap (HKD) (M)	591,341
EV (HKD) (M)	506,737
Performance	YTD 1M 6M 12M
Absolute (%)	NA (25.6) 161.9 NA
ASIAX (%)	19.9 5.1 10.1 31.3
Relative (%)	NA (30.7) 151.7 NA
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E
2513.HK (RMB)	(2.40)	(7.95)	(5.26)

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	724.33	5,631	18,663	--
Gross Profit (M)	296.66	1,522	5,855	--
Operating Earnings (M)	(2,251)	(3,707)	(2,612)	--
Net Earnings (M)	(382.28)	(3,627)	(2,565)	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	(530.0)	(159.8)	(241.4)
EV/Sales (x)	699.6	90.0	27.2
EV/EBIT (x)	(135.8)	(108.5)	(138.4)

Source: Bloomberg, Bernstein estimates and analysis.

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The early signs have been positive. Our sampling of 1,000 Twitter/X tweets in the 24 hours after the GLM-5.3 release pointed to a generally positive reception - 85% of 419 tweets that expressed a directional opinion were positive. Across a panel of AI folks we consider higher signal, there was mostly praise around GLM-5.3's cyber capabilities, and improved token efficiency and overall speed, while negative posts often revolved around use cases that would have benefitted from vision capabilities. Our private benchmarking of GLM-5.3 over the weekend largely replicated the company's reported scores for DeepSWE v1.1, while similarly showing materially improved token efficiency.

What can Z.ai do with a 3tn parameter pretrain? While GLM-5.2 contained new architectural tricks like IndexShare, GLM-5.3 was more of a compute and environment-intensive RL effort - and felt confirmatory of Z.ai's data and RL strengths. The residual gap between GLM-5.3 and US SOTA remains in the hardest long-horizon software engineering, which a larger base model should help to reduce (see Exhibit 1). In a recent meeting, Z.ai reiterated September to October as the likely timeline for when its next, larger pretrain lands. A successful big model - together with GLM-5.3 (and possible successors) in the middle market - would be a powerful combo strategically.

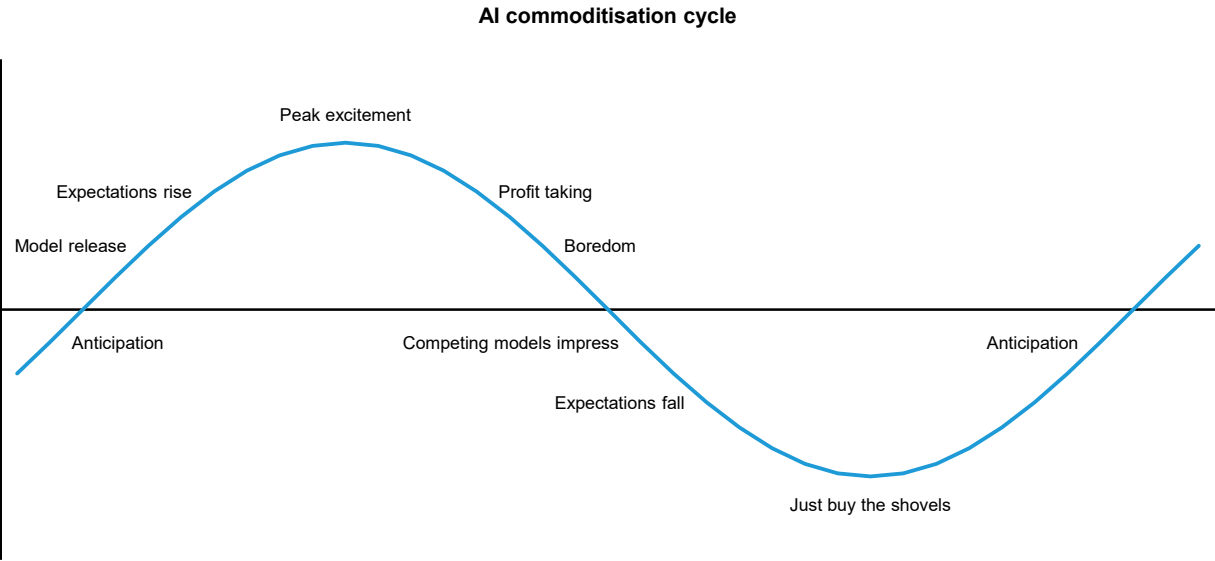
Riding the tiger. Friday trading felt like a nod to the volatility AI lab stocks are capable of. Z.ai's shares were +9% after lunchtime as news of the release spread... then -9% on the day an hour later, as the profit taking reflex kicked in among investors... before finishing the day a pedestrian -3.6%. Valuation anchored on 2030E growth will remain a point of contention, especially among investors hoping to buy transformational growth on near-term earnings multiples. DeepSeek raising prices this week despite a lukewarm V4 Pro felt like a decent argument against "inevitable" token pricing deflation - at least for now. But our sentiment cycle heuristic will probably remain relevant on tactical time horizons (see Exhibit 2).

EXHIBIT 1: Z.ai's latest GLM-5.3 showed off an impressive suite of benchmark scores... our early private benchmarking work has pointed to similarly impressive results

Benchmark	GLM-5.3	GLM-5.2	Kimi K3	DeepSeek-V4 Pro-0813	Qwen3.8-Max	Opus 4.8	Fable 5 (w/ fallback)	GPT-5.6 Sol
CODING								
Terminal Bench 2.1	88.2	81.0	88.3	87.9	86.6	85.0	88.0	88.8
Terminal Bench 3.0	28.3	4.6	17.4	-	-	21.1	33.7	34.6
DeepSWE v1.1	66.9	46.2	67.5	62.7	56.6	58.0	69.7	72.7
NL2Repo	58.0	48.9	58.0	61.1	55.9	69.7	-	-
ProgramBench Almost Solved	19.0	9.5	17.5	-	10.5	15.5	33.0	23.0
FrontierSWE	78.1	67.5	-	-	-	66.5	88.2	-
SWE-Marathon v1.1	42.5	19.4	48.1	-	-	48.8	33.1	42.5
PostTrainBench	39.8	31.7	32.0	-	-	32.9	41.8	36.2
CYBER								
CyberGym	84.5	77.2	80.0	83.3	78.5	78.1	83.8	83.6
ExploitGym 2h / 6h	105 / 130	29 / 39	36 / 70	-	14 / 26	80 / 120	181 / 247	216 / 293
ExploitBench	54.4	24.4	32.2	-	28.8	40.0	78.0	76.5
AGENTIC								
Toolathlon Verified	73.0	59.9	76.5	74.1	72.5	76.2	74.7	74.9
AutomationBench v1.0.6	48.2	26.2	46.7	43.2	39.8	41.0	46.2	45.8
Agents' Last Exam ALE-CLI	28.5	23.8	27.6	25.7	27.0	25.7	23.8	28.6
HLE w/ Tools	62.5	54.7	59.8	60.0	56.2	57.9	63.9	64.5
GDPval-AA v2	1769	1508	1682	1590	1739	1588	1743	1730

Source: Corporate reports and Bernstein analysis.

EXHIBIT 2: GLM-5.3 has looked highly impressive in our private testing... that said we expect our sentiment cycle heuristic to remain relevant, especially after the rally on Z.ai's shares in recent weeks



Source: Bernstein analysis.

INVESTMENT IMPLICATIONS

We rate Z.ai Outperform (PT HK\$1,350).

BERNSTEIN TICKER TABLE

			14 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
2513.HK (Z.AI)	O	HKD	1,270.00	1,350.00	NA	RMB	(2.40)	(7.95)	(5.26)	(530.0)	(159.8)	(241.4)
ASIA			1,960.56									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Z.AI Co., Ltd.**

We value Z.ai on a combination of 25x 2030E PE, discounted back at 14% annualised, and our DCF for the company.

RISKS**Z.AI Co., Ltd.**

The main fundamental downside risks related to Z.ai include the speed of enterprise AI adoption in China, and competition from rival AI model developers. Investor perceptions on the Chinese AI labs can vary significantly depending on the most recent model release, and can shift materially especially during periods of bearish AI sentiment.

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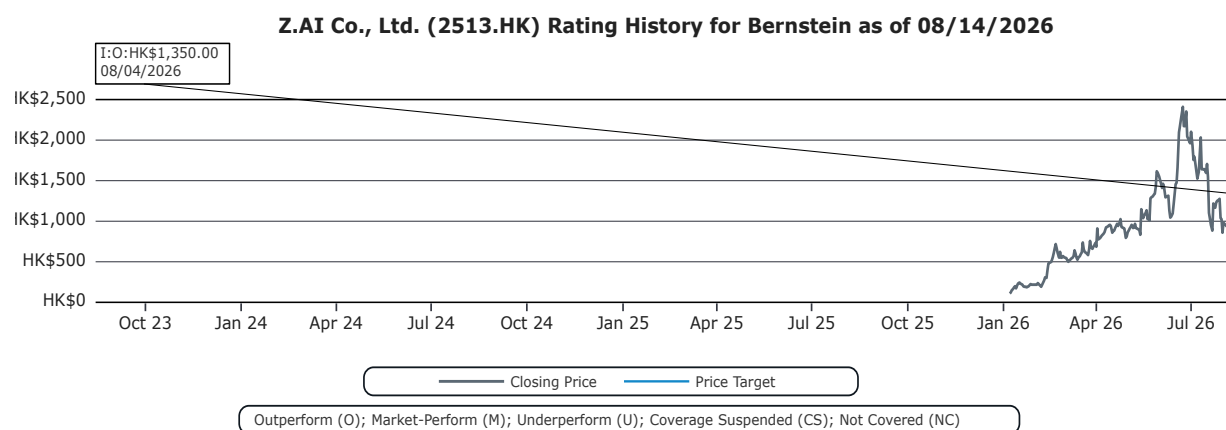
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Underperform	SELL	13.1%	13.6%

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